

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO H.B. 2398
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 5-301, Arizona Revised Statutes, is amended to
3 read:

4 5-301. Definitions

5 In this chapter, unless the context otherwise requires:

6 [1. "BOAT LIVERY" MEANS A BUSINESS THAT RENTS, LEASES OR CHARTERS A
7 MOTORIZED WATERCRAFT, A PERSONAL WATERCRAFT OR ANY OTHER WATERCRAFT TO THE
8 GENERAL PUBLIC FOR NONCOMMERCIAL, RECREATIONAL USE.]

9 ~~[1.]~~ [2.] "Commercial motorized watercraft" means a motorized
10 watercraft that carries passengers or property for a valuable
11 consideration that is paid to the owner, charterer, operator or agent or
12 to any other person interested in the watercraft.

13 ~~[2.]~~ [3.] "Commission" means the Arizona game and fish commission.

14 ~~[3.]~~ [4.] "Department" means the Arizona game and fish department.

15 ~~[4.]~~ [5.] "Documented watercraft" means any watercraft currently
16 registered as a watercraft of the United States pursuant to 46 Code of
17 Federal Regulations part 67.

18 ~~[5.]~~ [6.] "Domicile" means a person's true, fixed and permanent
19 home and principal residence, proof of which may be demonstrated as
20 prescribed by rules adopted by the commission.

21 ~~[6.]~~ [7.] "Launch" means any motorized watercraft that carries a
22 coach and that is used to follow and monitor rowing shells during
23 practice, training or competitive rowing events.

24 ~~[7.]~~ [8.] "Motorboat" means any watercraft that is not more than
25 sixty-five feet in length and that is propelled by machinery whether or
26 not such machinery is the principal source of propulsion.

27 ~~[8.]~~ [9.] "Motorized watercraft" means any watercraft that is
28 propelled by machinery whether or not the machinery is the principal
29 source of propulsion.

1 ~~[9.]~~ [10.] "Nonresident" means a citizen of the United States or
2 an alien person who is not domiciled in this state and who is not a
3 resident as defined in this section.

4 ~~[10.]~~ [11.] "Operate" means to operate or be in actual physical
5 control of a watercraft while on public waters.

6 ~~[11.]~~ [12.] "Operator" means a person who operates or is in actual
7 physical control of a watercraft.

8 ~~[12.]~~ [13.] "Person" includes any individual, firm, corporation,
9 partnership or association, and any agent, assignee, trustee, executor,
10 receiver or representative thereof.

11 [14. "PERSONAL WATERCRAFT" MEANS A WATERCRAFT THAT IS ALL OF THE
12 FOLLOWING:

13 (a) LESS THAN SIXTEEN FEET LONG.

14 (b) PROPELLED BY MACHINERY POWERING A WATER JET PUMP.

15 (c) DESIGNED TO BE OPERATED BY A PERSON WHO SITS, STANDS OR KNEELS
16 ON THE WATERCRAFT RATHER THAN SITTING OR STANDING INSIDE THE WATERCRAFT.]

17 ~~[13.]~~ [15.] "Public waters" means any body of water that is
18 publicly owned or that the public is allowed to use without permission of
19 the owner [AND] on which a motorized watercraft can be navigated,
20 including that part of waters that is common to interstate boundaries and
21 that is within the boundaries of this state.

22 ~~[14.]~~ [16.] "Resident" means a person who is either:

23 (a) A member of the armed forces of the United States on active
24 duty and stationed in this state for a period of thirty days immediately
25 before the date of application for a watercraft decal.

26 (b) A member of the armed forces of the United States on active
27 duty and stationed in another state or another country and who lists this
28 state as that member's home of record at the time of an application for a
29 watercraft decal.

30 (c) Domiciled in this state for at least six consecutive months
31 immediately before the date of the application for a watercraft decal and
32 who does not claim residency for any purpose in any other state or
33 country.

34 ~~[15.]~~ [17.] "Revocation" means invalidating the certificate of
35 number, numbers and annual validation decals issued by the department to a
36 watercraft and prohibiting the operation of the watercraft on the waters
37 of this state during a period of noncompliance with this chapter.

38 ~~[16.]~~ [18.] "Rowing shell" means a manually propelled watercraft
39 that is recognized by a national racing association for use in practice,
40 training or competitive rowing.

41 ~~[17.]~~ [19.] "Sailboard" means any board of less than fifteen feet
42 in length that is designed to be propelled by wind action on a sail for
43 navigation on the water by a person operating the board.

44 ~~[18.]~~ [20.] "Special anchorage area" means an area set aside and
45 under the control of a federal, state or local governmental agency, or by
46 a duly authorized marina operator or concessionaire for the mooring,
47 anchoring or docking of watercraft.

1 ~~[19.]~~ [21.] "State of principal operation" means the state where a
2 watercraft is primarily used, navigated or employed.

3 ~~[20.]~~ [22.] "Underway" means a watercraft that is not at anchor,
4 is not made fast to the shore or is not aground.

5 ~~[21.]~~ [23.] "Undocumented watercraft" means any watercraft that
6 does not have and is not required to have a valid marine document as a
7 watercraft of the United States.

8 ~~[22.]~~ [24.] "Wakeless speed" means a speed that does not cause the
9 watercraft to create a wake, but in no case in excess of five miles per
10 hour.

11 ~~[23.]~~ [25.] "Watercraft" means any boat designed to be propelled
12 by machinery, oars, paddles or wind action on a sail for navigation on the
13 water, or as may be defined by rule of the commission.

14 ~~[24.]~~ [26.] "Waterway" means any body of water, public or private,
15 on which a watercraft can be navigated.>>

16 Sec. 2. Title 5, chapter 3, article 5, Arizona Revised Statutes, is
17 amended by adding ~~[section]~~ [sections] 5-342 [and 5-342.01], to read:

18 5-342. Watercraft; insurance responsibility requirements;
19 required limits; violation; classification;
20 definition

21 A. NOTWITHSTANDING ANY OTHER LAW, AN OWNER OF A WATERCRAFT WHO
22 PROVIDES A WATERCRAFT FOR RENT [OR CHARTER] IN THIS STATE SHALL MAINTAIN A
23 COMMERCIAL BOAT LIABILITY POLICY [OR A PERSONAL LINES BOAT POLICY WITH A
24 SPECIFIED COMMERCIAL OR CHARTER BOAT LIABILITY COVERAGE ENDORSEMENT].

25 B. AN OWNER'S COMMERCIAL BOAT LIABILITY POLICY [OR PERSONAL LINES
26 BOAT POLICY WITH A SPECIFIED COMMERCIAL OR CHARTER BOAT LIABILITY COVERAGE
27 ENDORSEMENT] SHALL PROVIDE PRIMARY BOAT LIABILITY INSURANCE COVERAGE AS
28 FOLLOWS:

29 1. \$25,000 BECAUSE OF BODILY INJURY TO OR DEATH OF ONE PERSON IN
30 ANY ONE ACCIDENT.

31 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
32 INJURY TO OR DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

33 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
34 OTHERS IN ANY ONE ACCIDENT.

35 C. THE OWNER OF A WATERCRAFT WHO PROVIDES A WATERCRAFT FOR RENT [OR
36 CHARTER] IN THIS STATE SHALL MAINTAIN AT ALL TIMES THE AMOUNTS PRESCRIBED
37 IN SUBSECTION B OF THIS SECTION FOR INJURIES TO PERSONS AND FOR LOSS OR
38 DAMAGE TO PROPERTY BY REASON OF THE RENTAL OR OPERATION OF THE WATERCRAFT
39 THAT IS PROVIDED BY THE OWNER OF THE WATERCRAFT FOR RENT [OR CHARTER].

40 D. THE COMMISSION MAY REQUIRE AN OWNER OF A WATERCRAFT WHO IS
41 SUBJECT TO THE INSURANCE RESPONSIBILITY REQUIREMENTS OF THIS SECTION TO
42 CERTIFY THE EXISTENCE OF INSURANCE RESPONSIBILITY IN THE FORM AND AT THE
43 TIME THE COMMISSION DEEMS NECESSARY. THE COMMISSION MAY FORWARD THE
44 CERTIFICATION TO THE NAMED INSURER TO DETERMINE IF THE CERTIFICATION IS
45 CORRECT. CIVIL LIABILITY DOES NOT ACCRUE TO THE INSURER OR ANY OF ITS
46 EMPLOYEES FOR REPORTS MADE TO THE COMMISSION IF THE REPORTS ARE MADE IN
47 GOOD FAITH BASED ON THE MOST RECENT INFORMATION AVAILABLE TO THE INSURER.

1 E. AN OWNER OF A WATERCRAFT WHO RENTS [OR CHARTERS] A WATERCRAFT IN
2 THIS STATE WITHOUT MEETING THE INSURANCE RESPONSIBILITY REQUIREMENTS OF
3 THIS SECTION IS GUILTY OF:

4 1. A CLASS 3 MISDEMEANOR.

5 2. A CLASS 1 MISDEMEANOR IF THE WATERCRAFT IS INVOLVED IN AN
6 ACCIDENT IN THIS STATE.

7 [F. FOR THE PURPOSES OF THIS SECTION, "WATERCRAFT FOR RENT":

8 1. MEANS THE TRANSFER OF POSSESSION AND USE OF A WATERCRAFT TO A
9 PERSON OTHER THAN THE WATERCRAFT'S OWNER FOR A DEFINED PERIOD OF TIME IN
10 EXCHANGE FOR A FEE AND THE OWNER OF THE WATERCRAFT IS NOT PRESENT ON THE
11 WATERCRAFT DURING THE DEFINED PERIOD OF TIME.

12 2. DOES NOT INCLUDE A WATERCRAFT THAT IS AVAILABLE FOR RENT THROUGH
13 A PEER-TO-PEER WATERCRAFT SHARING PROGRAM PURSUANT TO ARTICLE 8.1 OF THIS
14 CHAPTER.]

15 5-342.01. Commercial boat liability insurance; no mandatory
16 offer; definition

17 [A. NOTWITHSTANDING ANY OTHER LAW, AN INSURER THAT IS AUTHORIZED TO
18 TRANSACT INSURANCE IN THIS STATE IS NOT REQUIRED TO OFFER, ISSUE, RENEW OR
19 PROVIDE A COMMERCIAL BOAT LIABILITY POLICY.

20 B. THIS SECTION DOES NOT PROHIBIT AN INSURER FROM VOLUNTARILY
21 OFFERING OR PROVIDING A COMMERCIAL BOAT LIABILITY POLICY PURSUANT TO THE
22 INSURER'S UNDERWRITING STANDARDS AND RISK SELECTION.

23 C. FOR THE PURPOSES OF THIS SECTION, "COMMERCIAL BOAT LIABILITY
24 POLICY" MEANS LIABILITY INSURANCE COVERAGE THAT IS DESCRIBED IN SECTION
25 20-255 AND THAT IS ISSUED IN CONNECTION WITH A WATERCRAFT THAT IS USED
26 PRIMARILY FOR COMMERCIAL, FOR-HIRE, RENTAL, CHARTER OR BUSINESS PURPOSES.]

27 <<Sec. 3. Section 5-350, Arizona Revised Statutes, is amended to
28 read:

29 5-350. Personal watercraft; requirements for operation;
30 applicability

31 A. A person shall not operate a personal watercraft unless each
32 person aboard is wearing a wearable personal flotation device that is
33 approved by the United States coast guard.

34 B. A person who operates a personal watercraft that is equipped by
35 the manufacturer with a lanyard type engine cutoff switch shall attach the
36 lanyard to his body, clothing or personal flotation device as appropriate
37 for the specific watercraft.

38 C. A person shall not operate or knowingly allow another person to
39 operate a personal watercraft under ~~his~~ [THE PERSON'S] ownership or
40 control in a reckless or negligent manner endangering the life or property
41 of another person. Prima facie evidence of reckless operation exists if
42 the person commits two or more of the following acts simultaneously:

43 1. Operates the personal watercraft within a zone of proximity to
44 another watercraft closer than sixty feet unless both are leaving a flat
45 wake or are traveling at a speed of five nautical miles per hour or less.

46 2. Operates the personal watercraft within the vicinity of a
47 motorboat in a manner that obstructs the visibility of either operator.

1 3. Heads into the wake of a motorboat that is within a zone of
2 proximity closer than sixty feet and causes one-half or more of the length
3 of the personal watercraft to leave the water.

4 4. Within a zone of proximity to another watercraft closer than
5 sixty feet, maneuvers quickly, turns sharply or swerves, unless the
6 maneuver is necessary to avoid a collision.

7 D. If equipped by the manufacturer, a person shall not operate a
8 personal watercraft without a functioning spring-loaded throttle mechanism
9 that immediately returns the engine to an idle speed on release of the
10 operator's hand from the control or without any other engine cutoff
11 feature that is installed by the manufacturer.

12 E. A personal watercraft shall not be loaded and operated with
13 passengers or cargo beyond its safe carrying capacity or the
14 manufacturer's recommended limits.

15 F. A person who owns, leases or hires a personal watercraft or who
16 has charge or control over a personal watercraft shall not authorize or
17 knowingly ~~[permit]~~ ~~[ALLOW]~~ the personal watercraft to be operated in
18 violation of this section.

19 G. This section does not apply to a performer who engages in a
20 professional exhibition or to a person who participates in an officially
21 sanctioned regatta, race, marine parade, tournament or exhibition.

22 ~~[H. For purposes of this section, "personal watercraft" means a~~
23 ~~watercraft that is less than sixteen feet long, propelled by machinery~~
24 ~~powering a water jet pump and designed to be operated by a person who~~
25 ~~sits, stands or kneels on rather than sitting or standing inside the~~
26 ~~watercraft.]]>>~~

27 Sec. 4. Section 5-371, Arizona Revised Statutes, is amended to
28 read:

29 5-371. Boat liveries; requirements; insurance requirements;
30 required limits; violation; classification

31 A. The owner of a boat livery shall keep or cause to be kept a
32 record of the name and address of the person or persons hiring any
33 watercraft ~~which~~ ~~THAT~~ is designed or ~~permitted~~ ~~ALLOWED~~ by ~~him~~ ~~THE OWNER~~ to
34 be operated as a watercraft, the identification number ~~thereof~~ ~~OF THE~~
35 ~~WATERCRAFT~~, the departure date and time and the expected and actual time
36 of return. Such record shall be preserved for at least three months.

37 B. Neither the owner of a boat livery nor ~~his~~ ~~THE OWNER'S~~ agent or
38 employee shall ~~permit~~ ~~ALLOW~~ any watercraft to be operated from ~~his~~ ~~THE~~
39 ~~OWNER'S~~ premises unless it shall have been provided, either by the owner
40 or renter, with the equipment required by this chapter.

41 C. The certificate of number for a watercraft less than twenty-six
42 feet in length that is leased or rented to a person for noncommercial use
43 of less than twenty-four hours may be retained on shore by the owner or
44 ~~his~~ ~~THE OWNER'S~~ representative at the place from which the watercraft
45 departs or returns to the possession of the owner or ~~his~~ ~~THE OWNER'S~~
46 representative. A watercraft ~~which~~ ~~THAT~~ does not have the certificate of

1 number on board shall be identified while in use as may be prescribed by
2 the regulations of the commission.

3 D. THE OWNER OF A BOAT LIVERY SHALL MAINTAIN A COMMERCIAL BOAT
4 LIABILITY POLICY FOR PERSONS WHO HIRE A WATERCRAFT FOR USE ON A WATERWAY
5 IN THIS STATE. THIS LIABILITY COVERAGE SHALL BE IN EFFECT AT ANY TIME
6 THAT THE WATERCRAFT IS OPERATED ON A WATERWAY IN THIS STATE.

7 E. A BOAT LIVERY OWNER'S COMMERCIAL BOAT LIABILITY POLICY SHALL
8 PROVIDE PRIMARY BOAT LIABILITY INSURANCE COVERAGE AS FOLLOWS:

9 1. \$25,000 BECAUSE OF BODILY INJURY TO OR THE DEATH OF ONE PERSON
10 IN ANY ONE ACCIDENT.

11 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
12 INJURY TO OR THE DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

13 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
14 OTHERS IN ANY ONE ACCIDENT.

15 F. THE OWNER OF A BOAT LIVERY SHALL MAINTAIN AT ALL TIMES THE
16 AMOUNTS PRESCRIBED IN SUBSECTION E OF THIS SECTION.

17 G. THE COMMISSION MAY REQUIRE THE OWNER OF A BOAT LIVERY THAT IS
18 SUBJECT TO THE INSURANCE RESPONSIBILITY REQUIREMENTS OF THIS SECTION TO
19 CERTIFY THE EXISTENCE OF INSURANCE RESPONSIBILITY IN THE FORM AND AT THE
20 TIME THE COMMISSION DEEMS NECESSARY. THE COMMISSION MAY FORWARD THE
21 CERTIFICATION TO THE NAMED INSURER TO DETERMINE WHETHER THE CERTIFICATION
22 IS CORRECT. CIVIL LIABILITY DOES NOT ACCRUE TO THE INSURER OR ANY OF ITS
23 EMPLOYEES FOR REPORTS MADE TO THE COMMISSION IF THE REPORTS ARE MADE IN
24 GOOD FAITH AND ARE BASED ON THE MOST RECENT INFORMATION AVAILABLE TO THE
25 INSURER.

26 H. THE OWNER OF A BOAT LIVERY THAT CAUSES A WATERCRAFT TO BE
27 OPERATED ON A WATERWAY IN THIS STATE WITHOUT MEETING THE INSURANCE
28 RESPONSIBILITY REQUIREMENTS OF THIS SECTION IS GUILTY OF:

29 1. A CLASS 3 MISDEMEANOR.

30 2. A CLASS 1 MISDEMEANOR IF THE WATERCRAFT IS INVOLVED IN AN
31 ACCIDENT IN THIS STATE.

32 <<Sec. 5. Title 5, chapter 3, Arizona Revised Statutes, is amended
33 by adding article 8.1, to read:

34 ARTICLE 8.1. PEER-TO-PEER WATERCRAFT SHARING

35 5-385. Definitions

36 [IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:]

37 1. "PEER-TO-PEER WATERCRAFT SHARING" MEANS THE AUTHORIZED USE OF A
38 SHARED WATERCRAFT THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM BY AN
39 INDIVIDUAL OTHER THAN THE SHARED WATERCRAFT OWNER.

40 2. "PEER-TO-PEER WATERCRAFT SHARING PROGRAM":

41 (a) MEANS A BUSINESS PLATFORM THAT CONNECTS WATERCRAFT OWNERS WITH
42 WATERCRAFT OPERATORS TO ENABLE THE SHARING OF WATERCRAFT FOR FINANCIAL
43 CONSIDERATION.

44 (b) DOES NOT INCLUDE:

45 (i) A BOAT LIVERY.

46 (ii) COMMERCIAL MOTORIZED WATERCRAFT.

47 3. "SHARED WATERCRAFT":

1 (a) MEANS A WATERCRAFT THAT IS AVAILABLE FOR SHARING THROUGH A
2 PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

3 (b) DOES NOT INCLUDE:

4 (i) COMMERCIAL MOTORIZED WATERCRAFT.

5 (ii) A WATERCRAFT THAT IS OWNED BY A BOAT LIVERY AND THAT IS MADE
6 AVAILABLE FOR RENT OR USE IN THIS STATE.

7 4. "SHARED WATERCRAFT OPERATOR" MEANS AN INDIVIDUAL WHO HAS BEEN
8 AUTHORIZED TO OPERATE A SHARED WATERCRAFT BY THE SHARED WATERCRAFT OWNER
9 PURSUANT TO A SHARED WATERCRAFT TRANSACTION.

10 5. "SHARED WATERCRAFT OWNER" MEANS THE REGISTERED OWNER OF A
11 WATERCRAFT THAT IS MADE AVAILABLE FOR SHARING TO A SHARED WATERCRAFT
12 OPERATOR THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

13 6. "SHARED WATERCRAFT TRANSACTION" MEANS THE AUTHORIZED USE OF A
14 SHARED WATERCRAFT BY AN INDIVIDUAL OTHER THAN THE SHARED WATERCRAFT OWNER
15 THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

16 7. "WATERCRAFT SHARING PERIOD" MEANS THE PERIOD OF TIME THAT BEGINS
17 WITH THE WATERCRAFT SHARING START TIME AND ENDS AT THE WATERCRAFT SHARING
18 TERMINATION TIME.

19 8. "WATERCRAFT SHARING START TIME" MEANS THE TIME WHEN A SHARED
20 WATERCRAFT BECOMES SUBJECT TO THE CONTROL OF THE SHARED WATERCRAFT
21 OPERATOR AT OR AFTER THE TIME THAT THE RESERVATION OF THE SHARED
22 WATERCRAFT IS SCHEDULED TO BEGIN AS DOCUMENTED IN THE RECORDS OF A
23 PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

24 9. "WATERCRAFT SHARING TERMINATION TIME" MEANS THE EARLIEST OF THE
25 FOLLOWING:

26 (a) THE EXPIRATION OF THE AGREED PERIOD OF TIME ESTABLISHED FOR THE
27 USE OF A SHARED WATERCRAFT IN THE SHARED WATERCRAFT TRANSACTION AND THE
28 SHARED WATERCRAFT IS DELIVERED TO THE LOCATION THAT IS SPECIFIED IN THE
29 SHARED WATERCRAFT TRANSACTION.

30 (b) WHEN THE SHARED WATERCRAFT IS RETURNED TO A LOCATION AS
31 ALTERNATIVELY AGREED TO BY THE SHARED WATERCRAFT OWNER AND THE SHARED
32 WATERCRAFT OPERATOR AS ESTABLISHED THROUGH A PEER-TO-PEER WATERCRAFT
33 SHARING PROGRAM.

34 (c) WHEN THE SHARED WATERCRAFT OWNER OR A DESIGNEE OF THE SHARED
35 WATERCRAFT OWNER TAKES POSSESSION AND CONTROL OF THE SHARED WATERCRAFT.]

36 5-386. Insurance requirements; information sharing;
37 recordkeeping; liability; indemnification

38 [A. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL MAINTAIN A
39 PRIMARY COMMERCIAL BOAT LIABILITY INSURANCE POLICY THAT PROVIDES COVERAGE
40 FOR BODILY INJURY OR PROPERTY DAMAGE THAT OCCURS DURING THE WATERCRAFT
41 SHARING PERIOD IN AN AMOUNT THAT IS STATED IN THE SHARED WATERCRAFT
42 TRANSACTION AND THAT IS NOT LESS THAN:

43 1. \$25,000 BECAUSE OF BODILY INJURY TO OR DEATH OF ONE PERSON IN
44 ANY ONE ACCIDENT.

45 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
46 INJURY TO OR DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

1 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
2 OTHERS IN ANY ONE ACCIDENT.

3 B. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL ENSURE THAT THE
4 COMMERCIAL LIABILITY INSURANCE POLICY THAT PROVIDES INSURANCE COVERAGE AND
5 THAT IS REQUIRED BY THIS SECTION MEETS BOTH OF THE FOLLOWING REQUIREMENTS:

6 1. RECOGNIZES THAT THE WATERCRAFT THAT IS INSURED UNDER THE POLICY
7 IS MADE AVAILABLE AND USED THROUGH THE PEER-TO-PEER WATERCRAFT SHARING
8 PROGRAM.

9 2. DOES NOT EXCLUDE THE USE OF A SHARED WATERCRAFT BY A SHARED
10 WATERCRAFT OPERATOR.

11 C. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL PROVIDE PROOF OF
12 INSURANCE TO THE SHARED WATERCRAFT OPERATOR BEFORE THE WATERCRAFT SHARING
13 START TIME. IF AN ACCIDENT OCCURS DURING THE WATERCRAFT SHARING PERIOD,
14 THE SHARED WATERCRAFT OPERATOR AND THE PEER-TO-PEER WATERCRAFT SHARING
15 PROGRAM SHALL PROVIDE PROOF OF INSURANCE AT THE TIME OF THE ACCIDENT TO
16 THE PARTIES INVOLVED IN THE ACCIDENT.

17 D. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL COLLECT AND
18 VERIFY RECORDS RELATING TO THE USE OF A SHARED WATERCRAFT, INCLUDING TIMES
19 USED, FEES PAID BY THE SHARED WATERCRAFT OPERATOR AND MONIES RECEIVED BY
20 THE SHARED WATERCRAFT OWNER. THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM
21 SHALL RETAIN THESE RECORDS FOR AT LEAST SIX YEARS AFTER THE TERMINATION OF
22 A SHARED WATERCRAFT TRANSACTION.

23 E. IN AN INSURANCE CLAIM INVESTIGATION, THE PEER-TO-PEER WATERCRAFT
24 SHARING PROGRAM AND ANY INSURER THAT PROVIDES THE INSURANCE COVERAGE
25 REQUIRED BY THIS SECTION SHALL FULLY COOPERATE WITH ALL OTHER PARTIES
26 INVOLVED IN THE CLAIM. IN AN INSURANCE CLAIM INVESTIGATION, BOTH OF THE
27 FOLLOWING APPLY:

28 1. THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL PROVIDE TO ANY
29 INTERESTED PARTY THE RECORDS REQUIRED BY SUBSECTION D OF THIS SECTION.

30 2. ANY INSURER THAT PROVIDES THE INSURANCE COVERAGE REQUIRED BY
31 THIS SECTION SHALL PROVIDE A CLEAR DESCRIPTION OF THE COVERAGE AFFORDED,
32 ANY EXCLUSIONS FROM THE COVERAGE AND THE LIMITS OF THE COVERAGE PROVIDED
33 UNDER THE INSURANCE POLICY.

34 F. NOTWITHSTANDING ANY OTHER LAW, THIS SECTION DOES NOT PROHIBIT A
35 PEER-TO-PEER WATERCRAFT SHARING PROGRAM FROM RECOVERING THE PEER-TO-PEER
36 WATERCRAFT SHARING PROGRAM'S INSURANCE COSTS THAT ARE INCURRED IN
37 SATISFYING THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM'S OBLIGATIONS
38 PURSUANT TO THIS SECTION FROM A SHARED WATERCRAFT OWNER OR SHARED
39 WATERCRAFT OPERATOR.

40 G. THIS SECTION DOES NOT LIMIT EITHER OF THE FOLLOWING:

41 1. THE LIABILITY OF A PEER-TO-PEER WATERCRAFT SHARING PROGRAM FOR
42 ANY ACT OR OMISSION OF THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM THAT
43 RESULTS IN INJURY TO ANY PERSON AS A RESULT OF THE USE OF A SHARED
44 WATERCRAFT THROUGH A SHARED WATERCRAFT TRANSACTION.

45 2. THE ABILITY OF THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM, BY
46 CONTRACT, TO SEEK INDEMNIFICATION FROM THE SHARED WATERCRAFT OWNER OR THE
47 SHARED WATERCRAFT OPERATOR FOR ECONOMIC LOSS THAT IS SUSTAINED BY THE

1 PEER-TO-PEER WATERCRAFT SHARING PROGRAM AND THAT RESULTS FROM A BREACH OF
2 THE TERMS AND CONDITIONS OF THE SHARED WATERCRAFT TRANSACTION.

3 H. AN INSURANCE POLICY REQUIRED BY THIS SECTION MAY BE OBTAINED
4 FROM AN INSURER AUTHORIZED TO TRANSACT INSURANCE IN THIS STATE PURSUANT TO
5 TITLE 20, CHAPTER 2, ARTICLE 1 OR A SURPLUS LINES INSURER OR DOMESTIC
6 SURPLUS LINES INSURER AUTHORIZED TO ISSUE INSURANCE COVERAGE IN THIS STATE
7 PURSUANT TO TITLE 20, CHAPTER 2, ARTICLE 5.]>>

8 Enroll and engross to conform

9 Amend title to conform

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